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HONG KONG DIPLOMA OF SECONDARY
EDUCATION EXAMINATION

(Mock Test 40)

Suggested Solution

Paper 1

- | | | |
|-------|-------|-------|
| 1. A | 11. A | 21. C |
| 2. D | 12. A | 22. B |
| 3. A | 13. B | 23. A |
| 4. B | 14. B | 24. D |
| 5. A | 15. C | 25. D |
| 6. B | 16. A | 26. D |
| 7. D | 17. C | 27. C |
| 8. A | 18. B | 28. D |
| 9. B | 19. A | 29. C |
| 10. D | 20. C | 30. A |

Explanation

1. Answer: A

(3) is correct. Since the resources available are not enough to satisfy all people's wants, some people's wants are not satisfied.

(1) is incorrect. Scarcity is a relative concept. Even if human wants are unlimited, as long as the resources available are enough to satisfy all human's wants, scarcity does not exist.

(2) is incorrect. Competition may take the form of non-price competition, and price competition may not necessarily occur.

2. Answer: D

The resources that Lyndon spent on obtaining the qualification of a fencing coach are a cost that has been paid in the past and cannot be recovered. The cost is not the opportunity cost of choosing to be a civil servant and it does not affect current decision making.

3. Answer: A

Mr. Wong paying an additional transportation fee to have the exercise bike delivered to his home will increase the monetary cost of purchasing it.

Option B is incorrect. Mr. Wong finding that the usage experience of the exercise bike is not as good as expected after purchasing it will only affect the value of purchasing the exercise bike, not the cost of purchasing it.

Option C is incorrect. Mr. Wong getting injured while using the exercise bike will increase the cost of using the exercise bike, but this will not affect the cost of purchasing it.

Option D is incorrect. Mr. Wong finding that the exercise bike is damaged after purchasing it and needing to pay extra repair fees before he can use it will only affect the cost of using the exercise bike, not the cost of purchasing it.

4. Answer: B

5. Answer: A

The restaurant's decision to offer hot pot instead of steak concerns what kinds of goods to produce, which is related to the 'what to produce' problem.

The decision is made by a private firm, not by the government, so the problem is solved using the market mechanism.

6. Answer: B

7. Answer: D

(1) is correct. Employees have the exclusive right to use their own lockers because they have the right to decide how to use their own lockers, such as what to put in them.

(2) is correct. To the company, the employees' lockers are goods used in the production process to produce other goods and services.

(3) is correct. An employee's locker is a private good because when a locker is occupied, the number of lockers available for others to use decreases.

8. Answer: A

Public limited companies can issue shares and bonds to the public, while private limited companies cannot, so public limited companies have wider sources of capital.

Option B is incorrect. A sole proprietorship is not a legal entity, while a private limited company is a legal entity, so a sole proprietorship does not have better continuity.

Option C is incorrect. Neither private limited companies nor partnerships are required to disclose their financial information to the public.

Option D is incorrect. Compared with private limited companies, public limited companies have more sources of capital, but they may not raise more capital than private limited companies.

9. Answer: B

Option D is incorrect. In a public limited company, ownership and management are separated.

Shareholders are only the owners of the company and may not necessarily participate in the company's daily operations.

10. Answer: D

Option B is incorrect. These bikes are private goods. However, the reasoning provided for explaining why they are private goods in the option does not align with the definition of a private good.

11. Answer: A

12. Answer: A

(1) is correct. It is a natural resource which has not gone through any man-made processes, so it is considered as 'land'.

(2) and (3) are incorrect. They have gone through man-made processes, so they should be considered as 'capital'.

13. Answer: B

The physical effort the music teacher used in the production is considered labour, so her income includes wages. At the same time, since the music teacher needs to bear risks in the production process, her income includes profits.

The music room belongs to capital, so the income of the music room owner includes the return on capital, that is, interest. At the same time, since the music room owner needs to bear risks in the production process, his income includes profits.

14. Answer: B

	20X4	20X5
Average labour productivity	5,000 units / 1,000 man-hours = 5 units / man-hour	6,000 units / 1,000 man-hours = 6 units / man-hour

According to the table above, the average labour productivity in 20X5 is higher.

If the production technology of the factory in 20X5 was more advanced than that in 20X4, the average labour productivity in 20X5 might be higher.

Option C is incorrect. According to the table above, the labour supply of the factory is the same in both years (1,000 man-hours).

15. Answer: C

Providing public transportation subsidies to low-income people will reduce workers' transportation costs, and workers will be more willing to work in other districts, increasing the geographical mobility of labour.

Option A is incorrect. This may affect the occupational mobility of labour, but not the geographical mobility of labour.

Option B is incorrect. This will increase the geographical mobility of foreign labour but will not affect the geographical mobility of Hong Kong labour.

Option D is incorrect. This will reduce the occupational mobility of labour but will not affect the geographical mobility of labour.

16. Answer: A

(1) and (3) are correct. The expenditure of purchasing tea leaves and electricity fee will increase as the number of business days increases.

(2) and (4) are incorrect. The rent and salary of the human resources department staff are fixed regardless of the number of business days.

17. Answer: C

The firm operates in the long run as there are only variable factors.

Labour (units)	Total product (units)	Total cost (\$)	Average cost (\$)
1	5	10	2
2	12	20	1.67
3	24	30	1.25
4	31	40	1.29
5	35	50	1.43

When output increases from 24 units to 31 units, average cost increases, indicating that diseconomies of scale exists.

18. Answer: B

Since the law of diminishing marginal returns applies to the firm, and the marginal output continues to rise before the 5th unit of labour is hired, it can be seen that diminishing marginal returns occur when the 5th unit of labour is hired. The marginal output of the 5th unit of labour must be smaller than 8 units, that is, $5X$ must be smaller than 28, and X must be smaller than $5.6 (= 28/5)$.

Machines (units)	10	10	10	10	10
Labour (units)	1	2	3	4	5
Average output (units)	2	3	4	5	$X < 5.6$
Total output (units)	2	6	12	20	$5X < 28$
Marginal output (units)	2	4	6	8	< 8

19. Answer: A

Before the average cost changes:

Output (units)	2	3	4	5	6
Total cost (\$)	6	12	20	30	42
Average cost (\$)	3	4	5	6	7
Marginal cost (\$)	-	6	8	10	12

The profit-maximising output is 4 units. At this output level, marginal revenue (price) = marginal cost = \$8.

After the average cost per unit of output increases by \$2:

Output (units)	2	3	4	5	6
Average cost (\$)	5	6	7	8	9
Total cost (\$)	10	18	28	40	54
Marginal cost (\$)	-	8	10	12	14

The profit-maximising output will be 3 units. At this output level, marginal revenue (price) = marginal cost = \$8.

Profit = Total revenue – Total cost = $\$8 \times 3 \text{ units} - \$18 = \$6$

20. Answer: C

Flour is a variable cost and an increase in its price will lead to an increase in marginal cost. At a given price, the output level that the firm is willing and able to supply will decrease. The profit-maximising output level will decrease.

Options A and B are incorrect. They are fixed costs, and changes in fixed costs will not affect the determination of the profit-maximising output level.

Option D is incorrect. This will increase the market demand for baking courses. The market price will increase, leading to an increase in the marginal revenue of baking courses. Given the marginal cost per unit of output, the profit-maximising output level will increase.

21. Answer: C

Both companies belong to the beverage industry and are in the same production stage, so it is a horizontal expansion. This expansion cannot ensure a reliable supply of input.

22. Answer: B

(2) is correct. Some customers are unable to reserve a table even though they are willing to pay the price set by the restaurants, indicating that the quantity supplied of restaurant services is smaller than the quantity demanded. There is a shortage in the market.

(1) is incorrect. When the price of restaurant services decreases, the quantity demanded of restaurant services will increase, while the demand for restaurant services remains unchanged.

(3) is incorrect. The restaurants offering discounts may have a promotional effect, which does not mean that they are not striving for maximum profits.

23. Answer: A

24. Answer: D

After increasing the fixed airport departure tax charged to all travellers, the price of business class seats will decrease relative to economy class seats, leading to a higher proportion of passengers choosing business class seats.

Option A is incorrect. Increasing the fixed airport departure tax charged to all travellers will raise the cost of travel, the demand for flight seats may decrease. However, since we do not know whether the flight market was initially in equilibrium, a decrease in demand does not necessarily mean there will be an excess supply of flight seats.

Option B is incorrect. After increasing the fixed airport departure tax charged to all travellers, the price of long-distance flights will decrease relative to short-distance flights. The proportion of passengers taking long-distance flights will increase, and the average distance of flights taken by passengers will rise.

Option C is incorrect. After increasing the fixed airport departure tax charged to all travellers, the number of flights taken by people will decrease. The government's revenue from the airport departure tax may increase, decrease or remain unchanged.

25. Answer: D

When the production cost of good X decreases, the supply of good X will increase. The equilibrium price will decrease and the equilibrium quantity will remain unchanged.

When the price of the substitute for good X increases, the demand for good X will increase. Both the equilibrium price and the equilibrium quantity will increase.

Therefore, the equilibrium quantity must increase while the equilibrium price may increase, decrease or remain unchanged, depending on the relative magnitude of the changes in the supply and demand.

26. Answer: D

A shortage of raw materials for producing instant noodles will lead to a decrease in the supply of instant noodles, and the supply curve will shift from S_0 to S_2 . At the same time, when people's income generally increases and instant noodles are regarded as inferior goods, the demand for instant noodles will decrease, and the demand curve will shift from D_0 to D_2 .

27. Answer: C

When the government of a country relaxes the licensing requirements for tutoring centres, the supply of tutoring services of tutoring centres will increase. When students generally pay more attention to academic performance, the demand for tutoring services will increase. The demand for tutors, which is a derived demand from tutoring services, will also increase.

28. Answer: D

When the value of elasticity of supply is greater than 0 but smaller than 1, the supply of cake is inelastic, which means that the percentage change in quantity supplied due to a change in price is smaller than the percentage change in price.

29. Answer: C

The completion of more railway branch lines will increase alternative modes of transportation (e.g., consumers will be more likely to switch to rail when bus fares increase), increasing the price elasticity of demand for bus services.

Option A is incorrect. When more minibus routes stop their services, the number of alternatives to bus services will decrease. The price elasticity of demand for bus services will decrease.

Option B is incorrect. An increase in the wage rate of bus drivers will increase the costs of providing bus services and affect the supply of buses, but this is not a factor that affects the price elasticity of demand.

Option D is incorrect. A decrease in the breakdown rate of buses will increase consumers' demand for bus services, but this will not increase the price elasticity of demand.

30. Answer: A

Advancements in technology will lead to an increase in the supply of locally produced drugs, causing the price of locally produced drugs to decrease and the quantity transacted to increase.

(1) is correct. Since the percentage decrease in the price of locally produced drugs (40%) is greater than the percentage increase in the quantity transacted (20%), the total revenue of locally produced drugs will decrease.

(3) is correct. Locally produced drugs and imported drugs are substitutes. A decrease in the price of locally produced drugs will reduce the demand for imported drugs, leading to a decrease in both the price and quantity transacted of imported drugs.

(2) is incorrect. The supply of locally produced drugs will increase, and the price will decrease, resulting in an increase in the quantity demanded of locally produced drugs. The demand for locally produced drugs does not change.

(4) is incorrect. The price and quantity transacted of imported drugs will decrease, leading to a decrease in total expenditure.

Paper 2

Section A (30 marks)

1. (a) No. (1 mark)
This is because people prefer more of these gifts. (1 mark)
- (b) No. (1 mark)
This is because these gifts are goods used in the production process to provide other services (fitness service). They do not directly satisfy human wants. (1 mark)
2. (a) Labour. (1 mark)
This is because the staff of the tutorial centre provides human effort (teaching services) used in production. (1 mark)
- (b) Capital. (1 mark)
This is because the teaching notes are man-made resources used in the production. (1 mark)
3. (a) Lateral expansion. (1 mark)
This is because the smartphone manufacturer expands its business into the production of related but not directly competing goods. (1 mark)
- (b) Possible motives:
- to enjoy economies of scale
- to use resources more efficiently
- to take advantage of brand names
- to diversify sources of income and spread risk
- any reasonable answers
(Mark the **FIRST TWO** points only)
- (c) The smartphone manufacturer should issue shares, (1 mark)
because the company has no obligation to pay dividends to shareholders even when it turns a profit.
There is no interest burden for the company. (1 mark)
4. (a) Possible reasons:
- The fruit shop is given discounts when it purchases raw materials (e.g., fruits) in bulk.
- The fruit shop can spread the costs of marketing over a large quantity of output.
- Any reasonable answers
(Mark the **FIRST TWO** points only)
- (b) An advantage:
- The store manager has stronger incentive to work hard, so the cost of supervision is lower.
- Part of the business risk is shared by the store manager.
- Any reasonable answer
(Mark the **FIRST** point only)
A disadvantage:
- The cost of calculating wages is higher.
- Any reasonable answer
(Mark the **FIRST** point only)

1@, max: 2 marks

1@, max: 2 marks

2@, max: 2 marks

2@, max: 2 marks

5. (a) Tertiary production. (1 mark)
- (b) If the demand for the courses is elastic, the percentage decrease in course fees will be smaller than the percentage increase in quantity transacted. Total revenue of the dance school will increase. (3 marks)

6. (a) Illustrate in the diagram:

- correct position of price (P_0) (1 mark)

- correct position of quantity transacted (Q_0) (1 mark)

(b) Verbal elaboration:

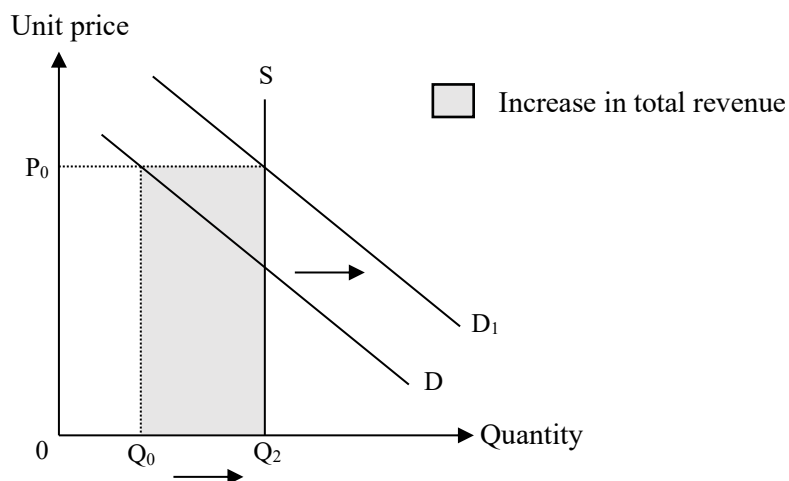
- When the price of the complement of good X decreases, the demand for good X will increase. (1 mark)

- Given the price of good X remains unchanged, the quantity transacted will increase and the total revenue will increase. (1 mark)

Illustrate in the diagram:

- rightward shift of demand curve (1 mark)

- correct position of an increase in total revenue (1 mark)



Section B (40 marks)

7. (a) Unlimited liability means that the liability of the owner is not confined to the amount of the initial investment. (2 marks)
- (b) Partnership. (1 mark)
- Features:
- at least two with no upper limit on the number of partners
 - not a legal entity
 - limited continuity
 - collective responsibility
 - agreement to admission and withdrawal of partners
 - simple legal set-up procedure
 - lower profits tax rate than that for limited companies
 - limited sources of capital
 - accounting information can be kept secret
 - any reasonable answers
- 1@, max: 2 marks
- (Mark the **FIRST TWO** points only)
- (c) (i) Public limited company, because the shares can be freely traded without the consent of other shareholders, thus allowing the ownership of the firm to be easily transferable. (2 marks)
- (ii) Private limited company, because a private limited company has to disclose its accounting information to its shareholders only, not the public, thus allowing the accounting information to be kept confidential. (2 marks)
8. (a) Advantages:
- better access to information and statistical data about the general public from the government for decision-making
 - able to provide reliable goods and services to the public at lower prices
 - adequate and stable sources of capital from the government
 - any reasonable answers
- 1@, max: 2 marks
- (Mark the **FIRST TWO** points only)
- (b) No. (1 mark)
- This is because the booth games are rival in consumption. When someone participates in the games, the quantity of games available to others is reduced. (2 marks)
- (c) Positive statement. (1 mark)
- This is because it involves no value judgement. It is refutable by facts. (1 mark)
- (d) (i) Yes, because this would increase the monetary cost of participating in the open day, such as the cost of medical treatment. (2 marks)
- (ii) No, because this would only increase the value of Miss Wong's participation in the open day but will not affect her opportunity cost. (2 marks)

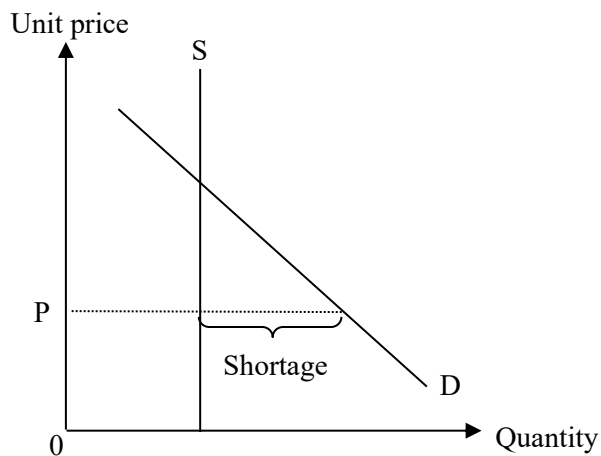
9. (a) Illustrate in the diagram:

- vertical supply curve and downward-sloping demand curve
- price set below the equilibrium price
- correct position of shortage

(1 mark)

(1 mark)

(1 mark)



- (b) - 'What to produce': The bus companies' decision to provide special bus routes to certain locations / KTSP Limited's arrangement of cross-boundary coach services is related to what kinds of goods to produce. / The MTR's increase in the frequency of the Tuen Ma Line and the East Rail Line is related to the quantity of goods to be produced.
- 'How to produce': The MTR's arrangement of spare trains to meet the additional demand is related to the type and quantity of resources to be used for production.

2@, max: 4 marks

- Any reasonable answers

(Mark the **FIRST TWO** points only)

(c) Division of labour/specialisation.

(1 mark)

Reasons:

- choosing the best people to do the job
- practice makes perfect
- saving time on training
- any reasonable answers

1@, max: 3 marks

(Mark the **FIRST THREE** points only)

(d) Marks awarded for effective communication (EC: max 1 mark)

Marks	Performance
1	• <i>Arguments presented with some support of the source/data and economic theories</i> • <i>Some irrelevant materials presented</i> • <i>Answers presented in a less organised way with some repetition of ideas</i> • <i>A clear message conveyed with some inappropriate use of language/words/terms/symbols</i>
0	• <i>Arguments presented with no support of the source/data and economic theories</i> • <i>Materials unrelated to the gist of the question presented</i> • <i>Inconsistent arguments presented</i> • <i>Limited ideas expressed with inappropriate use of words/terms/symbols</i>

The maximum marks for content are 8 marks. Answers may include the following:

How suggestion 1 may achieve its objective:

- Refer to the view of the merchant in Kai Tak Sports Park in Source C. On the event dates, the demand for catering services in the area will increase due to an increase in the flow of people. When mobile food trucks selling special snacks are introduced, the supply of catering services will increase.
- The equilibrium quantity will increase. If the increase in demand is greater than the increase in supply, the equilibrium price will increase. In this case, the total revenue of the catering industry will increase.

OR

- The equilibrium quantity will increase. If the increase in demand is equal to the increase in supply, the equilibrium price will remain unchanged. In this case, the total revenue of the catering industry will increase.

OR

- The equilibrium quantity will increase. If the increase in demand is smaller than the increase in supply, the equilibrium price will decrease. In this case, if the percentage increase in equilibrium quantity is greater than the percentage decrease in equilibrium price, the total revenue of the catering industry will increase.

How suggestion 2 may achieve its objective:

- Referring to the view of the fan who has watched the concert in Source C, many people buy tickets and resell them at high prices for profits. When real-name registration for purchasing concert tickets is implemented, tickets cannot be used for speculation. People who used to make profits from ticket speculation may no longer buy tickets, causing the demand for concert tickets to decrease. The number of people waiting to buy tickets will decrease, the waiting time to buy tickets will be shortened, and the time cost of buying tickets will decrease.

- Given a fixed quantity of tickets, when the number of people who make profits from ticket speculation decreases, more people can buy concert tickets at official prices. The monetary cost of buying concert tickets will decrease.

Possible factors that may limit the effectiveness of suggestion 1 in achieving the objective:

- The services provided by mobile food trucks are substitutes for those provided by restaurants. If people choose to enjoy the services of mobile food trucks instead of dining at restaurants, restaurants' revenue will decrease. In this case, the total revenue of the catering industry may not necessarily increase.

Possible factors that may limit the effectiveness of suggestion 2 in achieving the objective:

- The implementation of real-name registration will increase operational costs, such as verification and authentication. The increased operational costs may be passed on to ticket prices, causing the concert ticket prices to increase. The monetary cost of purchasing concert tickets will increase.